

# Shift Production Incentive

Pacific Surfaces - Production: Silos > Mixer > Distributor/Kreos > Robo > Press > Oven > Jot

## What this is

Every month, each shift earns a **score**. A better score earns a bigger incentive. It is paid as a **percentage of your own salary**: everyone on the shift earns the **same percentage**, so the rupees differ but the result is shared.

**Production is a team game.** One person cannot win this alone, and one person cannot lose it alone. Silos, mixer, distributor, press, oven and Jot all count as one shift. You win together.

## How the score is calculated

Your score is built from **two things only** - how much you made, and how good it was. The money is **split between them**, and both halves are counted **per shift, not per month**.

### 70% GOOD SLABS YOU MADE + 30% QUALITY OF WHAT YOU MADE

- **You need both halves.** Make a lot badly and you lose the quality half. Make a little carefully and you lose most of the bigger half.
- **Your average per shift counts, not your total.** 3 shifts making 300 good slabs (100 each) beats 10 shifts making 500 (50 each). Under 5 shifts your rate is scaled down - one good night is not a month.

## 1. GOOD SLABS - 70% of the money

The slabs **your own MIS entry claims** - the starting and ending slab number you enter each hour. Those slabs are yours, and each counts by the grade QC finally gives it. An hour with no slab numbers entered claims nothing.

## 2. QUALITY - 30% of the money

The share of **your** slabs that came out Grade A. Quality follows the slab, not the clock: we look at what QC gave the slabs your MIS entry claimed, not whatever was polished during your hours - that is someone else's work.

| QC grade   | Counts as   | Your grade share | Quality score |
|------------|-------------|------------------|---------------|
| A (and A2) | 1 good slab | 87% or below     | 0%            |
| B          | half a slab | 90%              | 30%           |
| C (reject) | nothing     | 92%              | 50%           |
|            |             | 95%              | 80%           |
|            |             | 97% or above     | 100%          |

Your grade share is scored between an **87% minimum standard** and a **97% target** - you are paid for how far **above 87%** you get, and **97% scores the full 100%**. You do not have to be perfect to score perfectly. The plant already runs between 93% and 98%, so this is where places are won and lost: two points of grade share is worth twenty points of quality score.

**A reject costs you nothing beyond itself** - it is worth zero, never a minus. There is no reason to leave a slab out of MIS: hiding a bad one gains nothing and loses the good ones on the same line. A slab still waiting to be polished is **not** counted against you - your score rises when QC grades it.

## How the pool is shared out

The pool is divided **in proportion to salary**: everyone is paid the same percentage of their own pay, so the shares always add up to exactly the pool.

| Who                                            | On the line | Monthly salary   | Share of every pool |
|------------------------------------------------|-------------|------------------|---------------------|
| Operators                                      | 30          | Rs 20,000 each   | 32%                 |
| Supervisors / Pigment Incharge / Line Incharge | 8           | Rs 52,500 each   | 22%                 |
| Managers / R&D                                 | 5           | Rs 1,75,000 each | 46%                 |
| Total                                          | 43          | Rs 18,95,000     | 100%                |

There are **43 people on the line** - 30 operators, 8 supervisors / pigment incharge / line incharge and 5 managers / r&d - and a production salary bill of **Rs 18,95,000** a month. That bill is what turns a pool into a percentage, and the sum is one division you can check yourself:

**Rs 6,00,000 pool ÷ Rs 18,95,000 salary bill = 32% of a month's pay, for everybody**

The pool itself is set by what the plant makes - the table overleaf. Whatever that percentage comes to, every person on the line takes exactly that much of their own salary.

## What the month pays - count the slabs, read your own line

The pool everyone shares is set by the **good slabs the whole plant makes in the month**. It rises far faster than production does: 10,000 to 12,000 slabs is 20% more work and **double** the money. This is not last month's result - it is what is waiting to be earned.

| Good slabs in the month | A shift averages | Total pool | Of one month's salary | EACH OPERATOR<br>30 on the line<br>Rs 20,000 salary | EACH SUPERVISOR /<br>PIGMENT INCHARGE /<br>LINE INCHARGE<br>8 on the line<br>Rs 52,500 salary | EACH MANAGER /<br>R&D<br>5 on the line<br>Rs 1,75,000 salary |
|-------------------------|------------------|------------|-----------------------|-----------------------------------------------------|-----------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| 7,000                   | 78 a shift       | Rs 3 lakh  | 16%                   | Rs 3,166                                            | Rs 8,311                                                                                      | Rs 27,704                                                    |
| 8,000                   | 89 a shift       | Rs 6 lakh  | 32%                   | Rs 6,332                                            | Rs 16,623                                                                                     | Rs 55,409                                                    |
| 9,000                   | 100 a shift      | Rs 8 lakh  | 42%                   | Rs 8,443                                            | Rs 22,164                                                                                     | Rs 73,879                                                    |
| 10,000                  | 111 a shift      | Rs 13 lakh | 69%                   | Rs 13,720                                           | Rs 36,016                                                                                     | Rs 1,20,053                                                  |
| 11,000                  | 122 a shift      | Rs 17 lakh | 90%                   | Rs 17,942                                           | Rs 47,098                                                                                     | Rs 1,56,992                                                  |
| 12,000                  | 133 a shift      | Rs 25 lakh | 132%                  | Rs 26,385                                           | Rs 69,261                                                                                     | Rs 2,30,871                                                  |

Your own figure is that same percentage of your own salary. "A shift averages" is the good slabs one shift needs to average across the 90 shifts in a month.

**7,000 good slabs is the minimum.** Below that the plant earns **no pool at all** and there is nothing to share out, whatever any single shift did. The table starts where the money starts.

**And these figures are not fixed.** Every number here already takes your own performance into account, and what you actually receive **can go up or down from what is printed** depending on how you personally perform.

**Read the second column, then the last three.** About **11 more good slabs a shift** moves the whole plant up one row - and every row up adds another **11% to 42% of a month's pay** to every person on the line. **12,000 slabs is a full extra month's pay for everyone.**

Every shift's output counts towards the same total, so **the whole plant has to get there together** - one shift alone cannot reach it, and one shift falling behind holds everyone back.

## A worked example - one month, all the way to rupees

Say the plant makes **9,000 good slabs**, so the pool is **Rs 8 lakh** and level pegging pays **42%** of salary. The three shifts do not finish level:

| Shift   | Good slabs per shift | QC grade share | Quality score | Share of the pool | Paid, as % of own salary | An operator on Rs 20,000 |
|---------|----------------------|----------------|---------------|-------------------|--------------------------|--------------------------|
| Shift A | 100                  | 95%            | 80%           | 41%               | 52%                      | Rs 10,366                |
| Shift B | 90                   | 92%            | 50%           | 33%               | 41%                      | Rs 8,285                 |
| Shift C | 80                   | 90%            | 30%           | 26%               | 33%                      | Rs 6,678                 |

Shift A made 25% more than C and finished five grade points ahead, and took 1.6 times the money for it. Every shift still earned - nobody is left with nothing - and all three shares add up to exactly the pool, so nothing is held back.

## IMPORTANT - log in to your OWN shift only

**The score is counted from the MIS entry. If you are logged in during another shift, your work is counted in THEIR score - not yours.** This is the most common way a shift loses points it had already earned.

- **Log in at the start of your shift and LOG OUT at the end.** No login = no entry = no score for that hour. Stay logged in and the next shift's slabs are recorded under your name - and your own next shift may show nothing.
- **Enter every hour in MIS**, with the correct **shift number** (1 / 2 / 3), the **incharge names**, and the **starting and ending slab number** - that is what claims those slabs for your shift.
- **Never enter data for another shift.** If an hour was missed, tell your incharge - do not fill it in under the wrong shift.
- **Log the reason and minutes for any stoppage** - the electrical and mechanical incharges are scored on it.

**We check this.** The system compares the shift written on each record against the actual clock time. Records logged under the wrong shift are visible in the report and will be corrected - which may move points from one shift to another.

## How the money is decided

At month end each shift's **good slabs per shift** and **quality score** are worked out. Each shift takes its share of both halves, and that becomes the **percentage of salary** everyone on that shift is paid. Slabs count once QC grades them,

so your score keeps rising as polishing catches up.

The pay table is what each shift earns when all three finish level. Win the month and you take more; finish last and you take less. **But the row the plant lands on is worth far more than the place you finish in** - which is why the shift you beat this month is the same shift you need next month.

### Extra points - judged by management, not by the system

The score above is calculated from your MIS and QC records. The points below are **not calculated** - they are **awarded by management at your assessment**, and they are added **on top of** your production points, never taken out of them. Ask your incharge to record them as they happen.

| What earns extra points | What counts                                                                                                                                                                   |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bringing in good people | You refer someone and we hire them. The plant is growing, and the people already on the line know best who can do this work - make sure your name is recorded against theirs. |
| Safety and housekeeping | Reporting a hazard before it hurts someone, and keeping your own area clean                                                                                                   |
| Attendance and conduct  | Turning up, following the SOP, no disciplinary issues                                                                                                                         |
| Skill                   | Learning a second and third machine, and training the people who come after you                                                                                               |
| Saving cost             | Less resin, pigment, power and gas per slab - and less scrap                                                                                                                  |
| Improvement ideas       | Any change you suggest that we adopt and that measurably works                                                                                                                |
| For incharges           | Getting a breakdown attended fast, closing the root cause so it does not come back, planning the shift, and developing your team                                              |

### Conditions

- A shift below the **87% minimum quality standard** takes nothing from the quality half - the highest quantity alone does not win. At **97% and above the quality half scores in full**.
- **Safety comes first**. Any lost-time accident in the shift means no incentive that month, whatever the score.
- Scores are **published every month** and can be checked. If you believe a number is wrong, raise it with your incharge - every point traces back to the individual slab records behind it.

### New on the board - OEE, the number world-class factories run on

Three numbers multiplied, all of them already coming from your own MIS entry - nothing new to write down. **They do not decide your money yet**: watch them for a month first.

| Availability                                         | Performance                            | Quality                                     | OEE                           |
|------------------------------------------------------|----------------------------------------|---------------------------------------------|-------------------------------|
| Of the hours you logged, the time the line could run | Good slabs against 100 a running shift | Your QC grade share (A = 1, B = 0.5, C = 0) | The three multiplied together |
| over 95%                                             | over 95%                               | over 98%                                    | over 85%                      |

Beside them is **MIS discipline**: hours filled out of eight, ranges typed too wide to be real, and slabs another shift claimed too. Each already costs you points under the rules above - now you can see it and fix the entry **while the month is still running**, instead of on payday.

**Make more. Make it right. Log in to your own shift. Record everything.**

A note on every figure in this notice. All the amounts and percentages shown - in the pay table, in the worked example and in the share table - **already include your personal performance**. They are what the scheme produces for a shift performing as described; the amount you actually receive **may be higher or lower than the figure printed**, depending on how you perform individually. Treat the tables as the shape of the scheme, not as a fixed promise of a number.

Effective from: \_\_\_\_\_ Signed: \_\_\_\_\_ Date: \_\_\_\_\_

Questions: speak to your Production Incharge.